

HORIZON NATIONAL BANK

Vehicle Loan Policy 2026

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1. Purpose and Scope

This policy governs loans for the purchase of new and pre-owned passenger vehicles and two wheelers by resident individual applicants.

Commercial vehicle finance is governed separately and is outside the scope of this policy.

2. Applicant Eligibility

- Minimum age at application: 21 years. Maximum age at maturity: 65 years.
- The applicant must hold a valid driving licence at the time of disbursement.
- The applicant must be a resident Indian citizen with a completed KYC record.

3. Employment Eligibility

The applicant must have at least 1 year of total employment history, with a minimum of 6 months in the current employment or business.

Self-employed applicants must demonstrate 2 years of business vintage.

4. Income Criteria

- Minimum net monthly income: INR 25,000 for two wheelers and INR 40,000 for passenger vehicles.
- FOIR inclusive of the proposed EMI must not exceed 55 percent.

5. Loan Amount and Tenure

- New passenger vehicle: up to 90 percent of ex-showroom price, maximum tenure 7 years.
- Pre-owned passenger vehicle: up to 75 percent of valuation, maximum tenure 5 years, vehicle age at maturity not exceeding 10 years.
- Two wheeler: up to 85 percent of on-road price, maximum tenure 4 years.
- Maximum loan amount: INR 1,00,00,000.

6. Required Documents

- Identity proof and address proof as defined in the KYC Policy 2026.
- PAN card, which is mandatory.
- Valid driving licence.
- Latest 3 months salary slips or the latest 2 income tax returns.
- Latest 6 months bank statements.
- Proforma invoice from the dealer.

7. Credit Assessment

A minimum credit bureau score of 680 is required.

The vehicle must be hypothecated to the bank and the hypothecation endorsed on the registration certificate within 45 days of disbursement.

8. Insurance

Comprehensive motor insurance with the bank recorded as financier is mandatory for the full tenure. Lapse of insurance constitutes an event of default.

9. Human Review

No vehicle loan may be approved or rejected by an automated system. The final decision must be recorded by an authorised credit officer.

End of Vehicle Loan Policy 2026. This document supersedes all prior versions. Queries to Retail Credit Department.